ARP – Workshop 2

Practice questions - solutions

Question 1: Financial instruments

Requirement 1

The debentures provide returns that are solely payments of principal and interest and are managed under a ‘held to collect and sell’ model. They are therefore measured at fair value through other comprehensive income. As this is a financial asset in a debt instrument, the interest income is calculated using the effective interest method and is recognised in the SPL. Any further adjustment (to fair value) is recognised in OCI - revaluation surplus.

Requirement 2

The financial asset should be initially recognised at the acquisition price on 1 January 20X2. The nominal value is £1 but the debentures were purchased at a 20% discount.

Acquisition price = 3,000,000 debentures x £1 x 80% = £2,400k.

JE1	**£000**	**£000**
Dr Investment in debentures	2,400	
Cr Bank		2,400
Being initial recognition of investment in debentures on 1 Jan 20X2		

Interest income is calculated by applying the amortised cost method. The assets are subsequently remeasured to fair value with gains and losses recognised in OCI and presented in a FVTOCI revaluation surplus.

	Opening	**Interest income (6.8%)**	**Interest received (4% x £3m)**	**Closing**	**Adjustment**	**Fair value**
	£'000	£'000	£'000	£'000	£'000	£'000
y/e 31 Dec 20X2	2,400 (3,000 x £1 x 80%)	163	(120)	2,443	157	2,600
y/e 31 Dec 20X3	2,600	166 (W)	(120)	2,646	(146)	2,500

Workings (W)

	£000
Amortised cost closing at 31 December 20X2	2,443
Interest income @ 6.8% (2,443 x 6.8%)	166

JE2	**£000**	**£000**
Dr Investment in debentures	163	
Cr SPL – interest income		163
Being interest income on debentures at FVTOCI – 31 Dec 20X2		

JE3	**£000**	**£000**
Dr Bank	120	
Cr Investment in debentures		120
Being interest received on debentures at FVTOCI – 31 Dec 20X2		

JE4	£000	£000
Dr Investment in debentures	157	
Cr OCI – revaluation surplus		157
Being subsequent measurement of debentures at FVTOCI – 31 Dec 20X2		

JE5	£000	£000
Dr Investment in debentures	166	
Cr SPL – interest income		166
Being interest income on debentures at FVTOCI – 31 Dec 20X3		

JE6	£000	£000
Dr Bank	120	
Cr Investment in debentures		120
Being interest received on debentures at FVTOCI – 31 Dec 20X3		

JE7	£000	£000
Dr OCI – revaluation surplus	146	
Cr Investment in debentures		146
Being subsequent measurement of debentures at FVTOCI – 31 Dec 20X3		

Requirement 3

There is no impairment at the date of acquisition or 31 December 20X2. This needs to be reassessed at each subsequent year end (i.e. 31 December 20X3). Kilt has confirmed that they are experiencing a significant decline in the operating results, but they are still expecting to pay all upcoming interest and redemption payments. This indicates a significant increase in the credit risk and the financial asset is in Stage 2.

For Stage 2 impairment, the lifetime expected credit losses must be recognised at 31 December 20X3.

Lifetime expected credit losses are measured as the probability weighted present value of contractual cash flows less the present value of the expected cash flows from the asset.

As the debentures are a financial asset in a debt instrument, the present value of the contractual cash flows is equal to the amortised cost of the asset rather than the fair value.

The present value of the contractual cash flows is £2,489k as per the workings below:

Amortised cost closing balance as at 31 December 20X3	**£000**
Opening amortised cost balance (prior year closing)	2,443
Effective interest	166
Interest received	(120)
Amortised cost closing balance	**2,489**

The present value of the expected cash flows are provided in the question.

Weighted average of possible outcomes	**£000**
(£2,489,000 - £2,500,000) x 20% (rounded to £nil)	0
(£2,489,000 - £1,500,000) x 13%	129
(£2,489,000 - £0) x 5%	124
Loss allowance	**253**

There is no loss allowance opening balance so the full £253k is accounted for at 31 December 20X3.

As the debentures are a financial asset in a debt instrument measured at FVTOCI, the increase is the loss allowance is an expense in the profit or loss and the credit is posted to other comprehensive income (retained earnings)

JE8	**£000**	**£000**
Dr SPL – impairment loss	253	
Cr OCI – retained earnings		253
Being impairment of debentures measured at FVTOCI		

Requirement 4

The debentures were sold on 30 June 20X4 and the financial asset needs to be derecognised at this date.

Interest needs to be accrued to 30 June 20X4 using the effective interest method. The financial asset will then be remeasured at 30 June 20X4 to fair value, with the gain or loss being recognised in OCI – revaluation surplus.

	Opening	**Interest income (6.8% x 6/12)**	**Interest received**	**Closing**	**Adjustment**	**Fair value**
	£000	£000	£000	£000	£000	£000
p/e 30 June 20X4	2,500	85 (W)	0	2,585	(135)	2,450

Workings (W)

	£000
Amortised cost closing at 31 December 20X3	2,489
Interest income @ 6.8% (2,489 x 6.8% x 6/12)	85

Interest is received annually in arrears (i.e. 31 December each year). No interest is received in the period 1 January 20X4 to 30 June 20X4.

JE9	**£000**	**£000**
Dr Investment in debentures	85	
Cr SPL – interest income		85
Being interest income on debentures at FVTOCI to 30 June 20X4		

JE10	**£000**	**£000**
Dr OCI – revaluation surplus	135	
Cr Investment in debentures		135
Being subsequent measurement of debentures at FVTOCI to 30 June 20X4		

The net proceeds need to be recognised and the asset will be derecognised. Any gain or loss is recognised in profit or loss.

Net proceeds = £2,450k - £20k = £2,430k
Gain or loss on disposal
= fair value of investment in debentures – net proceeds
= £2,450k - £2,430k
= £20k

JE11	**£000**	**£000**
Dr Bank	2,430	
Dr SPL – loss on disposal of debentures	20	
Cr Investment in debentures		2,450
Being impairment of debentures measured at FVTOCI		

As the financial asset has been derecognised, the balances previously posted to OCI need to be reallocated to profit or loss. Any gain or loss is posted to the gain or loss on disposal.

Postings to OCI:

	OCI – revaluation surplus	**OCI – retained earnings**
	£000	**£000**
JE4 – FV gain	157 cr	
JE7 – FV loss	146 dr	
JE8 – impairment		253 cr
JE10 – FV loss	135 dr	
Total	124 dr	253 cr

JE12	**£000**	**£000**
Dr OCI – retained earnings	253	
Cr OCI – revaluation surplus		124
Cr SPL – gain on disposal of debentures		129
Being the reallocation to the SPL		

Question 2: Distributable profits

Q1 Workings:

	£000
Distributable profits at 1 Jan 20X5	725
Add: Profit for the year	210
Less: Unrealised gain on investment property	(11)
Less: Dividend	(55)
Add: Realised revaluation surplus	90
Distributable profits at 31 Dec 20X5	959

Explanations:

- Fair value gains on investment properties are unrealised. The gain is included in the profit for the year, which has been added into distributable profits. So the gain needs to be deducted.
- Dividends are paid out of distributable profits and needs to be deducted.
- The building has been sold and the revaluation surplus is now a realised gain so it needs to be added to the distributable profits
- £25,000 of the downwards revaluation is recognised in OCI (and reduces the revaluation surplus to nil). This is an unrealised loss; however, no adjustment is required because it was not recognised in profits. The balance of £35,000 of the downwards revaluation is recognised in profit or loss as an impairment loss. This is realised and has already been included in profit or loss and therefore no adjustment is required.

Q2 Workings:

	£000
Distributable profits at 1 Jan 20X6	2,175
Add: Profit for the year	675
Add: Excess depreciation on revalued assets (332k – 115k)	217
Less: Unrealised gain on exchange	(22)
Distributable profits at 31 Dec 20X6	3,045

Explanations:

- The excess depreciation on a revalued asset is considered realised regardless of whether the company makes a transfer or not. The excess depreciation is therefore added to the distributable profits.
- The £25k fair value gain for a derivative which has a readily available market is a realised gain. Derivatives are always measured at FVTPL so the gain is included within the profit figure which has already been added to the distributable profits thus no additional amendment required.
- The £22k gain made on the non cash exchange is unrealised as the consideration is not a qualifying consideration. As it is included within the profit figure which has been added to distributable profits already, it needs to be deducted.

- An exchange gain on the settlement of a monetary item or the retranslation of a monetary item is a realised profit. The gain from the retranslation of the trade payables figure will be included within the profit figure which has already been added to the distributable profits thus no additional amendment required.

Question 3: Disposal of subsidiary

Requirement 1

Carrying amount of goodwill = £100,000 - £20,000 = £80,000

	£000
Proceeds on disposal	2,000
Net assets of sub at disposal date (100%)	(2,350)
NCI at disposal date (20% x £2,350k)	470
Goodwill at disposal date (£100k – 20k)	(80)
Gain on disposal	40

	£000	**£000**
Dr Revenue	2,000	
Dr SOFP - NCI	470	
Cr Goodwill		80
Cr Net assets disposed		2,350
Cr SPL – gain on disposal		40
Being disposal of Edwards subsidiary		

Requirement 2

	£000
Proceeds on disposal	250
Recognition of increase in NCI (10% x £2,350k)	(235)
Gain on disposal	15

	£000	**£000**
Dr Revenue	250	
Cr SOFP - NCI		235
Cr Retained earnings		15
Being partial disposal of Edwards subsidiary		

Question 4: Foreign subsidiary

Pre-consolidation: Step 1 – Translate the financial statements to presentation currency
[Performed at question 2]

Pre-consolidation: Step 2 – Calculate and recognise the exchange differences on translation

Opening net assets	**Closing rate £'000**	**Opening rate £'000**	**Difference £'000**
Share capital	€7,000k/ 1.34	€7,000k/ 1.48	
	5,224	4,730	494
Retained Earnings	€3,000k/ 1.34	€3,000k/ 1.48	
	2,239	2,027	212
Profits	**Closing rate £'000**	**Average rate £'000**	**Difference £'000**
Retained profit for the year (€7,400k - €3,000k = €4,400k)	€4,400k/ 1.34	€4,400k/ 1.40	
	3,284	3,143	141
Exchange gains on translation			847

			£'000	**£'000**
JE 1	Dr	Share Capital	494	
	Dr	Retained earnings	353	
	Cr	Translation reserve		847
	being exchange gains on translation of Suso			

Consolidation: Step 1 – Add financial statements together
[Performed at question 2]

Consolidation: Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	€'000	£:€	£'000
Investment in Suso	7,400	1.48	5,000
Non-controlling interests' share of net assets (30% x €10,000k)	3,000	1.48	2,027
	10,400		7,027
Share capital	(7,000)	1.48	(4,730)
Retained earnings	(3,000)	1.48	(2,027)
Goodwill at 1 April 20X7	400	1.48	270
Exchange gain	-		29
Goodwill at 31 March 20X8	400	1.34	299

				£'000	£'000
JE 2	Dr	Share Capital		4,730	
	Dr	Retained earnings		2,027	
	Dr	Goodwill		270	
	Cr	Investment in Suso			5,000
	Cr	SOFP - Non Controlling Interests			2,027
	being elimination of investment and creation of goodwill and NCI				

			£'000	£'000
JE 3	Dr	Goodwill	29	
	Cr	Translation reserve		29
	being translation gain on goodwill			

Consolidation: Step 3 – Recognise impairment of goodwill

N/A – there is no impairment of goodwill

Consolidation: Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

N/A – subsidiary acquired during the current year

Consolidation: Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests' share of current year profit = 30% x (€18,400k/ €1.40)= £3,943k

Non-controlling interests' share of current year exchange gain = 30% x £847k = £254k

				£'000	£'000
JE 4	Dr		SPL- Non controlling interests	3,943	
	Dr		Translation reserve	254	
		Cr	SOFP - Non Controlling Interests		4,197
	being NCI share of current year profit				

Consolidation: Step 6 – Eliminate inter company transactions and other adjustments

Dividends

Translated dividend = €14,000k / 1.40 = £10,000k

				£'000	£'000
	Dr		SPL- Dividend income (Group share		
JE 5			70% x £10,000k)	7,000	
	Dr		SOFP - non controlling interests (30% x £10,000k)	3,000	
		Cr	Retained Earnings		10,000
	being NCI share of current year profit				

Requirement 2

Final Step

Journals Hitting SPL

JE 4	3,943	Dr
JE 5	7,000	Dr
	10,943	Dr

				£'000	£'000
JE 6	Dr		Retained Earnings	10,943	
		Cr	SPL		10,943
	Being final step transfer of SPL to Retained Earnings				



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